



Nomura Quant Insights Memo

Global Markets Research

24 July 2025

Cross-asset - Japan

Surprise US-Japan trade agreement has CTAs adding to their long exposure again

NKY call wall at 42,000 / Nonresident investors resuming the rate hike trade / PM's reported resignation and weak JPY expectations

CTAs adding to their long exposure to Japanese equities again; Nikkei 225 call wall at 42,000

In Japan, the Nikkei 225 gained sharply yesterday (23 July) on the welcome surprise that the US and Japan had concluded a trade agreement in which the US side's so-called "reciprocal" tariff on Japanese goods and the sectoral tariff on Japanese autos were both set at 15%. Macro hedge funds seem to have been forced into covering short positions for the second day in a row, after having been pressed into short covering following the Upper House election. The bias among CTAs had been towards downsizing their long exposure, but the Nikkei 225's break above 40,800 seems to have prompted them to turn around and add to their long exposure (see our 22 July 2025 report *Nomura Quant Insights - Macro investors buying back in after the Upper House election, but CTAs are shrinking their long exposure*). If the stock index stays in the vicinity of 41,000–41,500, we would expect another ¥400bn or so of net buying by CTAs. The call skew in the options market has also surged upward, making it back up to the 95th percentile line that often portends a near-term market rally (see our 30 June 2025 report *Nomura Quant Insights - "Spot up, vol up" scenario taking shape with the Nikkei now above 40,000*). When the stock market rose in late June alongside a similar upswell in the call skew, the subsequent extension of the rally turned out to be exceptionally short-lived, owing to worries over US tariffs and the potential for selling by ETFs to fund distributions. On average, though, the index tends to extend its rally by another 3% or so in situations like this. Looking out to contracts expiring on 8 August, there is a call wall at a strike price of 42,000 that may also work to pull the stock index up. Among open call options, the heaviest concentration of front-month contracts is at a strike price of 42,000. If we assume that all front-month call options with a strike price of 40,000 or higher have investors on the long side and market makers on the short side, then the market makers' short gamma exposure works out to around ¥100bn at present. Of course, short gamma arising from investors' purchases of call options does not by itself guarantee stock market gains ahead; if investors start selling to lock in gains in significant numbers, then market makers' delta hedging could add fuel to a downtrend. Should that happen, the question becomes whether the index can hold the line at 40,800, below which CTAs would probably stop buying the dip.

Nonresident investors getting back into the rate hike trade / Reports of an impending resignation by the prime minister and expectations for a weaker yen

Factor performance yesterday was mostly a matter of reversals. The quality factor underperformed amid relief from the uncertainty surrounding trade negotiations. The earnings revision factor continued to outperform within the universe of domestic demand stocks, but it experienced a notable downward adjustment among external demand stocks. There was a marked narrowing of the return spread between the stocks of companies that have disclosed estimates of how US tariffs might impact their earnings and the stocks of companies that have not made such disclosures. Companies that have disclosed estimates like these seem to have continued attracting renewed attention yesterday (see our 22 July 2025 report *Nomura Quant Insights - Macro investors buying back in after the Upper House election, but CTAs are shrinking their long exposure*). As Q1 reporting season gets under way, this is likely to remain a key point to watch. The rise in yen interest rates helped drive a pick-up in the performance of the value factor. Bank stocks gained, after notably lagging relative to the degree to which rate hikes have been priced into the market. Nonresident investors may have gotten back into the rate hike trade.

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Note:

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If we split bank stocks into two groups by liquidity (based on market cap and trading volume), we see that the more liquid group plainly outperformed the less liquid group yesterday. Value stocks seem to still have some catching up to do relative to the recent rise in yen interest rates, so we think a preference for value is likely to remain in effect for the time being. All of that said, there have been reports that Prime Minister Ishiba intends to step down, and future developments surrounding the leadership of Japan's government could potentially throw cold water on the pick-up in the performance of bank stocks. In currency markets yesterday, JPY did not strengthen much at all despite the resurgent rate hike trade in bond markets and equity markets alike. If anything, investors may be increasingly expecting JPY to weaken going forward: while the USD/JPY spot rate has edged lower, the USD/JPY risk reversal has rebounded. It looks as though at least some nonresident investors are convinced that despite the loss of power for the former Abe faction in the Upper House elections, there will likely be growing support for right-leaning candidates in an LDP leadership contest for the sake of reclaiming conservative votes lost to other parties, with Sanae Takaichi being the most right-leaning of the candidates in last year's LDP leadership election.

Appendix A-1

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In addition, all products carry the risk of losses owing to price fluctuations or other factors. Fees and risks vary by product. Please thoroughly read the written materials provided, such as documents delivered before making a contract, listed securities documents, or prospectuses. Transactions involving Japanese equities (including Japanese REITs, Japanese ETFs, and Japanese ETNs, Japanese Infrastructure Funds) are subject to a sales commission of up to 1.43% (tax included) of the transaction amount (or a commission of ¥2,860 (tax included) for transactions of ¥200,000 or less). When Japanese equities are purchased via OTC transactions (including offerings), only the purchase price shall be paid, with no sales commission charged. However, Nomura Securities may charge a separate fee for OTC transactions, as agreed with the customer. Japanese equities carry the risk of losses owing to price fluctuations. Japanese REITs carry the risk of losses owing to fluctuations in price and/or earnings of underlying real estate. Japanese ETFs and ETNs carry the risk of losses owing to fluctuations in the underlying indexes or other benchmarks. Japanese Infrastructure Funds carry out the risk of losses owing to fluctuations in price and/or earnings of underlying infrastructures.

Transactions involving foreign equities are subject to a domestic sales commission of up to 1.045% (tax included) of the transaction amount (which equals the local transaction amount plus local fees and taxes in the case of a purchase or the local transaction amount minus local fees and taxes in the case of a sale) (for transaction amounts of ¥750,000 and below, maximum domestic sales commission is ¥7,810 (tax included)). Local fees and taxes in foreign financial instruments markets vary by country/territory. When foreign equities are purchased via OTC transactions (including offerings), only the purchase price shall be paid, with no sales commission charged. However, Nomura Securities may charge a separate fee for OTC transactions, as agreed with the customer. Foreign equities carry the risk of losses owing to factors such as price fluctuations and foreign exchange rate fluctuations.

Margin transactions are subject to a sales commission of up to 1.43% (tax included) of the transaction amount (or a commission of ¥2,860 (tax included) for transactions of ¥200,000 or less), as well as management fees and rights handling fees. In addition, long margin transactions are subject to interest on the purchase amount, while short margin transactions are subject to fees for the lending of the shares borrowed. A margin equal to at least 30% of the transaction amount (at least 33% for online transactions) and at least ¥300,000 is required. With margin transactions, an amount up to roughly 3.3x the margin (roughly 3x for online transactions) may be traded. Margin transactions therefore carry the risk of losses in excess of the margin owing to share price fluctuations. For details, please thoroughly read the written materials provided, such as listed securities documents or documents delivered before making a contract.

Transactions involving convertible bonds are subject to a sales commission of up to 1.10% (tax included) of the transaction amount (or a commission of ¥4,400 (tax included) if this would be less than ¥4,400). When convertible bonds are purchased via OTC transactions (including offerings), only the purchase price shall be paid, with no sales commission charged. However, Nomura Securities may charge a separate fee for OTC transactions, as agreed with the customer. Convertible bonds carry the risk of losses owing to factors such as interest rate fluctuations and price fluctuations in the underlying stock. In addition, convertible bonds denominated in foreign currencies also carry the risk of losses owing to factors such as foreign exchange rate fluctuations.

When bonds are purchased via public offerings, secondary distributions, or other OTC transactions with Nomura Securities, only the purchase price shall be paid, with no sales commission charged. Bonds carry the risk of losses, as prices fluctuate in line with changes in market interest rates. Bond prices may also fall below the invested principal as a result of such factors as changes in the management and financial circumstances of the issuer, or changes in third-party valuations of the bond in question. In addition, foreign currency-denominated bonds also carry the risk of losses owing to factors such as foreign exchange rate fluctuations.

When Japanese government bonds (JGBs) for individual investors are purchased via public offerings, only the purchase price shall be paid, with no sales commission charged. As a rule, JGBs for individual investors may not be sold in the first 12 months after issuance. When JGBs for individual investors are sold before maturity, an amount calculated via the following formula will be subtracted from the par value of the bond plus accrued interest: (1) for 10-year variable rate bonds, an amount equal to the two preceding coupon payments (before tax) x 0.79685 will be used, (2) for 5-year and 3-year fixed rate bonds, an amount equal to the two preceding coupon payments (before tax) x 0.79685 will be used.

When inflation-indexed JGBs are purchased via public offerings, secondary distributions (uridashi deals), or other OTC transactions with Nomura Securities, only the purchase price shall be paid, with no sales commission charged. Inflation-indexed JGBs carry the risk of losses, as prices fluctuate in line with changes in market interest rates and fluctuations in the nationwide consumer price index. The notional principal of inflation-indexed JGBs changes in line with the rate of change in nationwide CPI inflation from the time of its issuance. The amount of the coupon payment is calculated by multiplying the coupon rate by the notional principal at the time of payment. The maturity value is the amount of the notional principal when the issue becomes due. For J117 and subsequent issues, the maturity value shall not undercut the face amount. Purchases of investment trusts (and sales of some investment trusts) are subject to a purchase or sales fee of up to 5.5% (tax included) of the transaction amount. Also, a direct cost that may be incurred when selling investment trusts is a fee of up to 2.0% of the unit price at the time of redemption. Indirect costs that may be incurred during the course of holding investment trusts include, for domestic investment trusts, an asset management fee (trust fee) of up to 5.5% (tax included/annualized basis) of the net assets in trust, as well as fees based on investment performance. Other indirect costs may also be incurred. For foreign investment trusts, indirect fees may be incurred during the course of holding such as investment company compensation.

Investment trusts invest mainly in securities such as Japanese and foreign equities and bonds, whose prices fluctuate. Investment trust unit prices fluctuate owing to price fluctuations in the underlying assets and to foreign exchange rate fluctuations. As such, investment trusts carry the risk of losses. Fees and risks vary by investment trust. Maximum applicable fees are subject to change; please thoroughly read the written materials provided, such as prospectuses or documents delivered before making a contract.

In interest rate swap transactions and USD/JPY basis swap transactions ("interest rate swap transactions, etc."), only the agreed transaction payments shall be made on the settlement dates. Some interest rate swap transactions, etc. may require pledging of margin collateral. In some of these cases, transaction payments may exceed the amount of collateral. There shall be no advance notification of required collateral value or collateral ratios as they vary depending on the transaction. Interest rate swap transactions, etc. carry the risk of losses owing to fluctuations in market prices in the interest rate, currency and other markets, as well as reference indices. Losses incurred as such may exceed the value of margin collateral, in which case margin calls may be triggered. In the event that both parties agree to enter a replacement (or termination) transaction, the interest rates received (paid) under the new arrangement may differ from those in the original arrangement, even if terms other than the interest rates are identical to those in the original transaction. Risks vary by transaction. Please thoroughly read the written materials provided, such as documents delivered before making a contract and disclosure statements.

In OTC transactions of credit default swaps (CDS), no sales commission will be charged. When entering into CDS transactions, the protection buyer will be required to pledge or entrust an agreed amount of margin collateral. In some of these cases, the transaction payments may exceed the amount of margin collateral. There shall be no advance notification of required collateral value or collateral ratios as they vary depending on the financial position of the protection buyer. CDS transactions carry the risk of losses owing to changes in the credit position of some or all of the referenced entities, and/or fluctuations of the interest rate market. The amount the protection buyer receives in the event that the CDS is triggered by a credit event may undercut the total amount of premiums that he/she has paid in the course of the transaction. Similarly, the amount the protection seller pays in the event of a credit event may exceed the total amount of premiums that he/she has received in the transaction. All other conditions being equal, the amount of premiums that the protection buyer pays and that received by the protection seller shall differ. In principle, CDS transactions will be limited to financial instruments business operators and qualified institutional investors. Transfers of equities to another securities company via the Japan Securities Depository Center are subject to a transfer fee of up to ¥11,000 (tax included) per issue transferred depending on volume. No account fee will be charged for marketable securities or monies deposited.

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